THE CRISIS

Demand for affordable housing keeps rising while supply struggles to catch up

REQUIREMENT

9.6 *mn units*
needed in urban India

AVAILABILITY

28,102 *units*
launched in 8 large cities in the first half of 2026

SHORTAGE

9.54 *mn units**
Supply gap

**Based on the estimation that 56,000 units will be added in 2026*



HARDIK CHHABRA

Padmashree Vinod, 48, a schoolteacher who moved from Thrissur to Mumbai in 1998, spent nearly two decades in a modest chawl at Kajupada near Andheri before shifting to a rented flat in Kurla. She had hoped to buy a home of her own within a couple of years and began looking for a one-bedroom flat. The cheapest option within Mumbai, however, cost Rs 1.2 crore. She expanded her search to Navi Mumbai, where Maharashtra government town planner Cidco was developing low-cost housing in Taloja, Dronagiri, Kharghar and Kalamboli. Even those were beyond her reach. "After reviewing the location, the size and the price, we found that the end-cost was as high as what some private developers were offering," she says. "The word 'affordable' is just a façade."

Millions across urban India, like Padmasree, dream of owning a home but are priced out. They are left with few choices: remain in rented chawls or ageing buildings with poor infrastructure and few amenities, or move to the city outskirts and endure long commutes. According to real estate consultancy Knight Frank, urban India faces a shortage of nearly 10 million affordable homes—priced up to Rs 45 lakh, with a carpet area of up to 60 sq. m in metros and 90 sq. m in non-metros, as defined by the government. And the gap is only widening.

Despite the pressing need, affordable housing remains a story of poor planning and policy apathy. Even flagship government schemes such as the Pradhan Mantri Awas Yojana-Urban (PMAY-U), aimed at expanding access to affordable homes, have fallen well short of meeting rising demand. World Bank



"Affordable housing is not for private developers. Our governments are not invested in helping that segment"

JERRY RAO, *Founder, Value and Budget Housing Corporation*